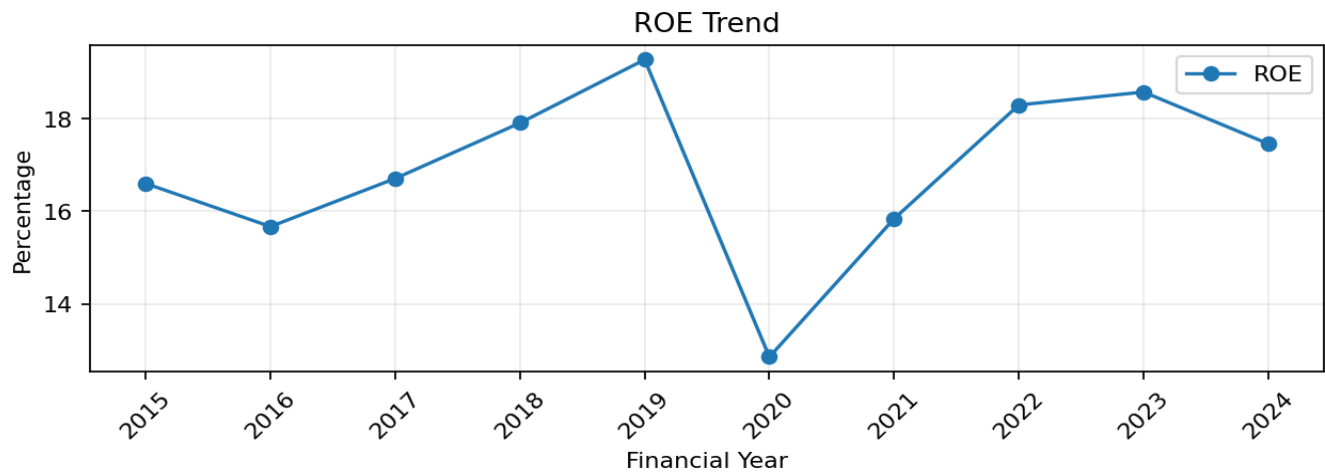
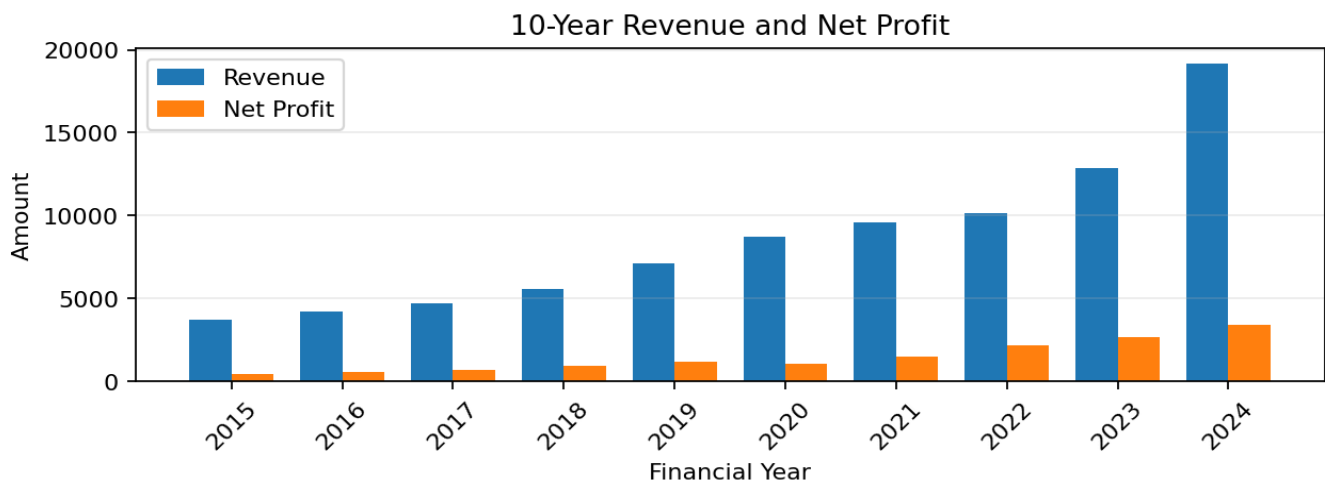
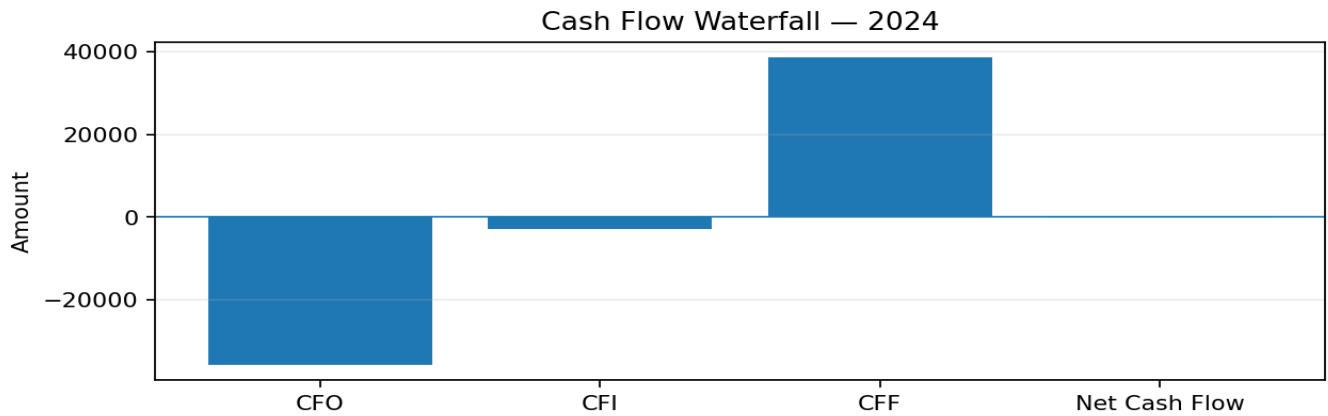
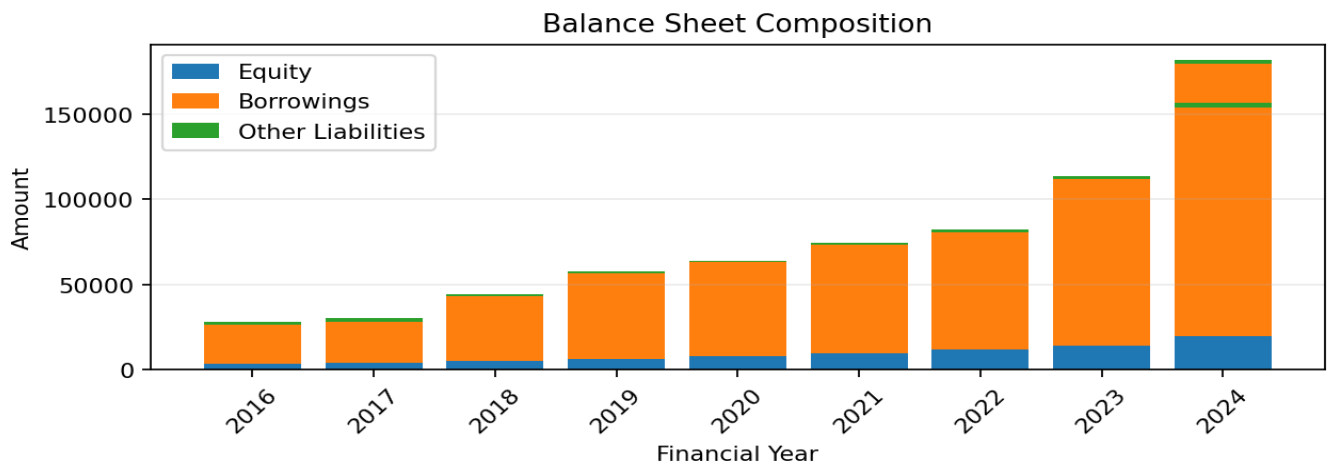


Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

Revenue CAGR 20.9%	PAT CAGR 29.6%	ROE 17.5%
ROCE 10.4%	Debt/Equity 6.86	FCF Conversion -780.9%





Capital Allocation: Distress Signal

Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
- Profits growing faster than revenue demonstrate improving operating leverage and scale benefits.

Cons

- Net debt of approximately 20.09 times EBITDA represents high leverage and limits financial flexibility.
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality.
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.